

The problem with the 24/7 media culture we live in is that everybody has to have something to say almost all the time. And yet most of the time there really isn't anything worth saying.

So, we get incessant daily commentary on every blip in stocks, gold, bonds and so forth. It's all meaningless drivel. I'm with Pabrai: there really isn't anything intelligent to say about returns over such a short period of time.

In fact, I'll go further: I don't think you should compare yourself to the S&P 500, or the broader market, at all.

Here's what Martin Whitman, one of my favorite investors, has to say about it:

Certain economists believe strongly that the goal of professional money managers is to beat the market. If professional money managers fail to beat the market either individually or en masse, this is taken as evidence that they are useless. ... The kindest word we have for this point of view is that it is amateurish.(emphasis added)

This is from *Modern Security Analysis* by Whitman and Fernando Diz.

I love Whitman's approach, and Whitman has had a big influence on how I think about investing over the years.

The reason Whitman has such disdain for the market-beating point of view is that managers have different goals and duties. A manager investing for an endowment may aim for safety and income over capital gains.

Thus, if such a manager turned in a 9 percent return with a portfolio of conservative names that never missed a dividend, it seems silly to rip him for trailing the S&P.

Besides, who cares about one year?

You have to play the long game. There are approaches and investors who have beaten the market by a solid margin over time. The thing is, they seldom beat the market consistently.

The best investors lag the market 30–40 percent of the time. As Barton Biggs once wrote after analyzing the stellar returns of superstar investors, "None in the group always beat the S&P 500 probably